

Paradiem 

The Morning Brief

JULY 27, 2026

Strikes Paused

US-Iran mutual pause resets the Monday tape as oil gaps lower ahead of the FOMC and Big Tech gauntlet.

S&P 500 FUTURES	BRENT CRUDE (SEP)	BITCOIN (LIVE)	US - IRAN STRIKES	FEAR & GREED
↑~0.87% pre-open per FX Leaders · Dow futures above 52,000	Approx. \$90.88 · ↓~6% overnight per Bloomberg / CNBC	Approx. \$64,500 · sub-\$65k Sunday close range per CryptoSlate	Second straight day of mutual pause per NPR / Times of Israel	CNN 39 Fear (as of Jul 24) · data drop returned crypto fallback (30)

SECTION 01

Markets — The Sunday-Night Setup Gaps Risk-On Into the FOMC and Big Tech Print Gauntlet as the Mutual US-Iran Strike Pause Pulls the Chokepoint Premium Off the Crude Curve

FUTURES OPEN FIRMLY HIGHER AND BRENT GAPS LOWER AS THE SUNDAY US-IRAN MUTUAL PAUSE OVERWHELMS SATURDAY'S ARAMCO ESCALATION — THE COMPOSITION NOW PUTS THE FOMC, JUNE PCE, AND MSFT / META / AAPL / AMZN PRINTS DIRECTLY AGAINST A SUBSTANTIALLY LOWER ENERGY-PASS-THROUGH SETUP THAN FRIDAY'S CLOSE IMPLIED

Per FX Leaders and CNBC coverage of Sunday-evening trade, S&P 500 futures added roughly 0.87% ahead of the Monday cash open and Dow futures cleared 52,000 as prediction markets assigned approximately 88% probability of an up open, while Brent September futures traded near \$90.88 per Bloomberg coverage — a gap of roughly ↓6% from the Friday reference and a substantially different setup than the physical premium Friday's \$52.58 BNO close and the Saturday Aramco escalation implied. Per Saxo Bank commentary on the Monday tape, the oil gap lower directly reflects the US-Iran strike pause holding into a second day, per NPR and Times of Israel reporting. For the FCI positioning, Friday's tape — S&P 500 ↑0.10% at \$738.93, Dow ↑0.48% at \$518.76, Nasdaq ↓1.12% at \$684.23 with chips leading the give-back (CRDO ↓9.87%, MRVL ↓7.21%, TSM ↓2.93%, AMD ↓3.29%) — is the base from which the Monday session will be repriced. The Sunday-night composition argues the risk-off chip-cohort pressure could partially reverse as the physical-premium tax on operating margins recedes, while the defensive Dividend and Utility bid that carried Friday (SSNC ↑10.35%, NOW ↑7.44%, SYK ↑3.54%, GPC ↑3.47%, ADP ↑2.97%) faces its first stress test against a risk-on rotation. The Wednesday FOMC decision, Thursday June PCE print, and Wednesday / Thursday Big Tech sequence now land into a materially lighter energy pass-through than the Saturday close implied.

S&P 500 FUTURES (SUN)	↑~0.87% pre-open per FX Leaders · approx. 88% up-open probability cited in Benzinga coverage
ASIA OVERNIGHT	MSCI Asia Pacific ↑~0.5% led by South Korea and Japan per Reuters framing
EUROPE EARLY	FTSE 100 ↑~0.5% · CAC 40 ↑0.86% · DAX ↑1.2% per FX Leaders
BRENT (SEP) GAP	Approx. \$90.88 · ↓~6% overnight per Bloomberg · WTI (Sep) approx. \$84.19 · ↓~5.6% per CNBC
GOLD (GLD FRI)	\$371.90 · ↑0.10% Fri per data drop · Sunday bid on Fed-decision hedge per Reuters
TLT (20Y BOND FRI)	\$83.25 · ↑0.10% Fri per data drop
FED CONSENSUS	Hold at 3.50%–3.75% per FactSet · 65.3% no change · 82% Sept hike odds per CME FedWatch / StocksAnalyzer
CARSON'S SPY SUPPORT	\$645.80 active · Fri range \$737.29–\$743.72 · not hit

THE CHIP-COHORT GIVE-BACK MEETS A SUNDAY-NIGHT RISK-ON SETUP AHEAD OF MSFT / META WEDNESDAY AND AAPL / AMZN THURSDAY — THE AI-CAPEX SUSTAINABILITY DEBATE NOW SITS AGAINST A LOWER OIL-PASS-THROUGH BASE

Per S&P Global, Motley Fool, AskTraders, and Yahoo coverage of the Big Tech print sequence, Microsoft (MSFT) and Meta (META) report after the close Wednesday, July 29 followed by Apple (AAPL) and Amazon (AMZN) after the close Thursday, July 30. Per AskTraders and MoneyCheck framing, Microsoft consensus sits near \$4.21 EPS for its fiscal fourth quarter with Azure growth and the AI-monetization read as the primary focal points, while Meta's FY26 capex guide of \$125B–\$145B and the Reality Labs / AI infrastructure margin composition remain the swing factor against Q1's 41.4% operating margin per the same coverage. Per the July 24 brief context, Alphabet's FY26 capex guide of \$195B–\$205B and the Amazon approximately \$200B pacing frame the aggregate capex commitment near \$700B across the four names. For the FCI Growth-Hybrid chip sleeve, Friday's repricing — CRDO ↓9.87% at \$213.15, MRVL ↓7.21% at \$194.23, TSM ↓2.93% at \$403.41, AMD ↓3.29% at \$521.95,

NXPI ↓2.90% at \$269.24, LRCX ↓4.56% at \$305.21 — could partially retrace on the Sunday-night risk-on backdrop, though the underlying AI-capex-versus-monetization debate remains unresolved until the MSFT / META prints land. Per data drop, NVDA closed Friday ↓0.92% at \$206.84 — a relatively contained move that positioned it to lead any Monday reversal in the merchant-silicon complex. **Simplicity Over Complexity.**

THE FOMC ON JULY 29 FACES A MATERIALLY DIFFERENT OIL-PASS-THROUGH SETUP THAN FRIDAY'S CLOSE IMPLIED — CHAIR WARSH PRESERVES OPTIONALITY INTO A DATA-DEPENDENT PAUSE WITH THE SEPT HIKE ODDS STILL ELEVATED

Per Federal Reserve schedule, the FOMC decision lands Wednesday, July 29 at 2:00 PM ET with Chair Kevin Warsh's press conference at 2:30 PM ET (no SEP is released at this meeting). Per FactSet polling cited in TradingKey and StocksAnalyzer preview coverage, the consensus is a hold at 3.50%–3.75% — the fifth consecutive meeting without a change — while CME FedWatch pricing implies approximately 65.3% probability of no change in July and roughly 82% probability of a September hike per the same coverage. Per Chase and StocksAnalyzer coverage of Warsh's prior press conference framing, the Chair has emphasized that current price levels remain elevated and has indicated he does not intend to offer forward guidance — a posture that positions the July decision as a data-dependent pause with the tightening bias pushed to the fall. Per BEA release schedule, June PCE prints Thursday, July 30 — the first PCE observation to reflect any mid-month energy pass-through from the Iran conflict, and the Sunday-night oil retrace materially reduces the near-term upside risk to the headline read that Friday's composition had priced. For the FCI Dividend and Utility sleeves, the Friday defensive rotation (ADP ↑2.97%, GPC ↑3.47%, SYK ↑3.54%, STLD ↑2.72%, ATO ↑0.66%) faces the first test against a risk-on Monday tape, and the resilience of the defensive bid into the FOMC will indicate whether the higher-for-longer framing continues to draw incremental positioning. **Think Like an Owner.**

The Sunday-night gap risk-on and the Brent gap lower recast Friday's composition into the FOMC / PCE / Big Tech peak week, but the Aramco physical damage assessment remains unpublished per Reuters and the diplomatic track sits at a fragile pause rather than a settled ceasefire — the composition argues the defensive Dividend and Utility positioning that carried Friday should continue to sit alongside the physical-cash-flow Upstream sleeve rather than yielding to any single-catalyst repricing. Research Reveals Opportunities.

SECTION 02

Geopolitics — A Fragile Two-Day Mutual US-Iran Strike Pause Meets an Unresolved Aramco Damage Assessment and a Broadened Red Sea Attack Surface — The Diplomatic Window Opens While the Kinetic Sequence Continues Along Adjacent Fronts

THE US PAUSED STRIKES ON IRAN FOR A SECOND STRAIGHT DAY SUNDAY AND TEHRAN RECIPROCATED PER NPR AND TIMES OF ISRAEL — IRANIAN SOURCE FRAMED THE PAUSE AS CONDITIONAL ON CONTINUED US RESTRAINT WHILE AMBASSADOR WALTZ SAID THE ADMINISTRATION IS GIVING NEGOTIATIONS ROOM

Per NPR and Times of Israel reporting cited across Sunday coverage, the US military paused strikes on Iran for a second straight day Sunday, and per US News reporting of an Iranian source, Iran indicated it will halt its own attacks as long as the United States maintains the pause. Per NBC News and Telegraph Nigeria coverage, Iran has suspended retaliatory strikes against Washington's regional allies, and per US News reporting US Ambassador to the United Nations Mike Waltz said the administration is allowing space for negotiations to develop while American forces remain on high alert. Per Times of Israel coverage, the Sunday-Monday pause follows an extended stretch of US strikes on Iran (13 consecutive nights of US strikes referenced in the same reporting) and represents the first meaningful diplomatic opening in recent weeks. For the FCI Upstream sleeve, the fragile framing of a conditional pause rather than a settled ceasefire argues that the term-structure repricing already priced into Sunday-night crude may prove partial rather than terminal — the Wednesday FOMC decision and Thursday PCE print will each land into whatever state the pause has reached by mid-week. Per Reuters coverage cited in the data drop, the pause did not extend to the Red Sea theater, where the Iran-aligned Houthis conducted the Saturday Aramco strike and where fresh Red Sea shipping data indicates commercial traffic slowed measurably in the wake of the attack. **The physical world matters.**

THE ARAMCO DAMAGE ASSESSMENT REMAINS UNPUBLISHED AS OF THE SUNDAY-NIGHT CLOSE PER REUTERS — TWO ASIA-BASED TRADING SOURCES REPORTED SOME DAMAGE AT JIZAN WHILE THE YANBU INTERCEPTIONS HELD; THE OVERNIGHT OIL MOVE PRICED THE ABSENCE OF PUBLICLY CONFIRMED SUSTAINED PRODUCTION LOSS

Per Techtimes, Al Jazeera, Turkiye Today, and Wikipedia summary coverage of the Saturday strike, the Aramco Jizan refinery was reported ablaze following the Houthi missile and drone attack, though as of early Saturday no official damage assessment had been issued by Saudi Aramco or the Saudi government, per Reuters coverage cited across weekend reporting. Per the same Reuters framing, two Asia-based trading sources told Reuters they had received reports of some

damage at the Jizan site. At Yanbu — Saudi Arabia's principal west-coast export gateway per Washington Post coverage referenced in Sunday's brief — two ballistic missiles were intercepted by a Patriot battery operated in Saudi Arabia by the Greek military. The Sunday-night crude move — Brent (Sep) ↓~6% to approximately \$90.88 per Bloomberg and CNBC coverage — effectively priced the absence of a publicly confirmed sustained production-loss signal from the Jizan site, though the actual physical damage assessment remains outstanding as of this writing. Per Cryptobriefing reporting of the same weekend, Brent had touched roughly \$100 in the immediate Saturday aftermath before stabilizing in the \$89–\$90 range as the US-Iran pause narrative developed Sunday.

Per Reuters coverage cited in the data drop, Red Sea shipping data indicates commercial traffic slowed after the Houthi strike — a channel-side signal that the physical-transit premium sits at a live level even as the front-month price has retraced. For the FCI Upstream sleeve, CVX ↑0.19% at \$194.79, CNX ↓0.49% at \$34.29, and OKE roughly flat at \$93.16 Friday could face pressure on any Monday oil gap-lower confirmation, though the durability of the crude retrace depends on whether the Aramco damage assessment lands during the Monday session. **Avoid Erosion.**

US-IRAN STRIKE PAUSE	Second straight day of mutual pause Sunday per NPR / Times of Israel
IRAN FRAMING	Iranian source: halt continues as long as US maintains pause per US News
WALTZ FRAMING	Administration allowing space for negotiations to develop per US News
PRIOR 13 NIGHTS	Consecutive US strikes on Iran until Friday per Times of Israel
ARAMCO JIZAN	Ablaze per Techtimes · damage assessment unpublished as of writing per Reuters
JIZAN TRADING SOURCES	Two Asia trading desks reported damage per Reuters framing
ARAMCO YANBU	Two ballistic missiles intercepted · Greek-manned Patriot per Washington Post
RED SEA SHIPPING	Commercial traffic slowed per Reuters shipping data
SAT BRENT SPIKE	Approx. \$100 immediate post-strike · stabilized \$89–\$90 Sun per Cryptobriefing

SECTION 03

On Our Radar

1. FOMC Wednesday and June PCE Thursday — The Sunday Oil Retrace Materially Reduces the Near-Term Energy Pass-Through Risk to the PCE Print; Chair Warsh's Press Conference Now Faces a Different Sequencing Question Than Friday's Composition Implied. Per Federal Reserve schedule, the FOMC decision lands Wednesday, July 29 at 2:00 PM ET with Chair Kevin Warsh's press conference at 2:30 PM ET (no SEP at this meeting), and per FactSet polling cited in TradingKey preview coverage the consensus is a hold at 3.50%–3.75% — the fifth consecutive meeting without a change. Per CME FedWatch pricing cited in StocksAnalyzer, the market implies approximately 65.3% probability of no change in July and 82% probability of a September hike. Per BEA release schedule, June PCE prints Thursday, July 30 — the first PCE observation to reflect any mid-month energy pass-through from the Iran conflict, and the Sunday-night Brent retrace to approximately \$90.88 per Bloomberg materially reduces the near-term upside surprise risk on the headline read. Per StocksAnalyzer coverage of Warsh's prior press conference framing, the Chair has emphasized elevated price levels and reiterated a data-dependent posture without forward guidance. For the FCI Dividend and Utility sleeves, the Friday defensive bid (ADP ↑2.97%, GPC ↑3.47%, SYK ↑3.54%) faces its first test against a risk-on Monday tape; how it holds through the week will indicate whether higher-for-longer positioning continues to draw incremental flow. *Research Reveals Opportunities.*

2. Big Tech Print Sequence — MSFT / META Wednesday After Close, AAPL / AMZN Thursday After Close — The AI-Capex-Versus-Monetization Debate Now Sits Against a Materially Lower Energy-Cost-Pass-Through Base Than Friday's Composition Implied. Per S&P Global, AskTraders, Motley Fool, and MoneyCheck coverage, Microsoft (MSFT) and Meta (META) report after the close Wednesday, July 29 followed by Apple (AAPL) and Amazon (AMZN) after the close Thursday, July 30. Per AskTraders framing, Microsoft consensus sits near \$4.21 EPS for its fiscal fourth quarter with Azure growth and AI-monetization the primary focal points, and Meta's FY26 capex guide of \$125B–\$145B and Reality Labs / AI infrastructure spend remain the swing factor against Q1's 41.4% operating margin. Combined with Alphabet's \$195B–\$205B FY26 capex guide and Amazon's roughly \$200B pacing per July 24 brief context, the aggregate Big Tech capex commitment sits near approximately \$700B for the year — a figure that has driven the two-week AI-capex reset in the tape. For the FCI Growth-Hybrid chip sleeve, Friday's composition — NVDA ↓0.92% at \$206.84, AMD ↓3.29% at \$521.95, MRVL ↓7.21% at \$194.23, CRDO ↓9.87% at \$213.15, TSM ↓2.93% at \$403.41 — sets the base against which the Monday risk-on tape and the Wednesday MSFT / META prints will test whether the merchant-silicon sell-side has bottomed. *Think Like an Owner.*

3. FCI Reporting Cohort This Week — VST and CEG Frame the Utility-AI-Power Print, GD Reads the Defense-Adjacent Cash-Flow Sleeve Pre-Market Wednesday, and LRCX / QCOM / MRVL Sit at the Center of the Chip Recovery Bar. Per Wall Street Breakfast, Kiplinger, and Investing Live earnings coverage, the FCI reporting cohort this week includes Vistra (VST) and Constellation Energy (CEG) — the utility-AI-power core — alongside General Dynamics (GD) pre-market Wednesday July 29 and the chip-equipment / merchant-silicon triad of LRCX, QCOM, and MRVL. Per TIKR consensus framing referenced in prior briefs, VST Q2 2026 consensus sits at approximately \$5.77B revenue on roughly 36% growth with EBITDA margin near 30%, and CEG Q2 2026 consensus sits at approximately \$8.71B revenue on roughly 43% growth. Per data drop, VST closed Friday ↓3.31% at \$163.38 and CEG ↓0.45% at \$274.35 — both giving back Thursday's bid ahead of the print. For the FCI utility-AI thesis, the VST and CEG prints will indicate whether regulated-utility capacity additions and long-dated PPA momentum with hyperscalers (Meta / Microsoft) continue to keep pace with the hyperscaler load-growth signal. GD ↑1.30% at \$386.75 Friday sets the base for the Wednesday pre-market print that will provide a direct read on FCI Defense positioning against the widened Middle East attack surface. *Simplicity Over Complexity.*

4. Digital-Asset Sleeve — Bitcoin Traded Near the Mid-\$60Ks Through the Weekend Per CryptoSlate; IBIT and ETHA Enter Monday at Friday's Give-Back Levels Against the Sunday-Night Risk-On Backdrop. Per CryptoSlate coverage of the weekend tape, Bitcoin traded near the mid-\$60Ks through the weekend with thin liquidity keeping the range compressed and Monday ETF flows framed as the primary directional decider for whether the July recovery holds or reverses. Per data drop, IBIT closed Friday ↓0.82% at \$36.35 and ETHA ↓0.50% at \$14.04 following the Yahoo-reported \$225M Bitcoin ETF net outflows that snapped a seven-day inflow streak. The mining cohort took Friday's brunt with HUT ↓6.53% at \$109.99, MARA ↓5.09% at \$12.12, and HOOD ↓6.57% at \$94.91 giving back the Thursday AI-infrastructure bid. For the FCI Digital-Asset positioning, the Sunday-night risk-on setup could support a Monday retrace of the Friday give-back, but the underlying flow signal (net outflows into the Fed / Big Tech print week) argues for a more measured recovery bar than the equity risk-on setup implies. *Avoid Erosion.*

5. Carson's SPY Support Remains Untouched Through Friday's Session — Intraday Range of \$737.29–\$743.72 Sits Well Above the \$645.80 Retracement Target; The Bear-Market Deployment Tranches Remain the Operative Discipline Rather Than Any Single-Catalyst Impulse. Per

levels.json, Carson's active SPY support at \$645.80 — the retracement target set April 13 — remains untouched through Friday's \$737.29–\$743.72 intraday range per the data drop and sits well-removed from current cash pricing. The prior major resistance zone at \$691.90–\$693.20 was cleared on April 14 per levels.json and is not a live reference point in the current tape. For the FCI risk framework, the Sunday-night gap risk-on into a Wednesday FOMC / Thursday PCE / Wednesday-Thursday Big Tech print sequence reinforces that the pre-committed deployment tranches — 70% of reserves at –25% drawdown and the remaining 30% at –40% drawdown — remain the operative framework rather than any impulse response to a single catalyst. The Aramco damage assessment remains outstanding as of this writing, and the US-Iran mutual pause sits at a conditional two-day framing rather than a settled ceasefire — a composition that keeps the physical-cash-flow Upstream sleeve alongside the defensive Dividend and Utility positioning as the mid-week catalyst sequence unfolds. *The physical world matters.*